

MANAGEMENT REVIEW

Management without theatre.

KPIS

NPS, CSAT, CES: WHAT THEY REALLY MEASURE

Why a 6 counts as a detractor, what customer effort does to loyalty, three metrics and three questions, whether NPS predicts growth, one set of answers with three scores, and a card.



6

out of 10 counts as a detractor in the Net Promoter Score, just like a 0.

REICHHELD, 2003

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Most companies ask their customers for a number. This issue asks what NPS, CSAT and CES each measure, how well they predict what matters, and how to read a score without fooling yourself.

Fred Reichheld's Net Promoter Score counts a 6 out of 10 as a detractor, just like a 0, and very different teams can end up with the same score. Studies from Norway and the US could not confirm that NPS predicts growth better than satisfaction measures, and across 93 firms satisfaction measured as top-2-box predicted retention best. In CEB's research, 96% of customers who had to work hard to get help became more disloyal, against 9% when it was easy.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure

Every figure has its source and year at the foot of its page.

Our reading

Where the editors interpret rather than the research, it says so.

Practice

The steps and the card are proposals to try, not research results.

COVER STORY

A 6 is a detractor

In December 2003 Fred Reichheld proposed in Harvard Business Review that one question could replace long satisfaction surveys: how likely is it that you would recommend the company to a friend or colleague, from 0 to 10?

0-6

Detractors

count against the score

7-8

Passives

count in the total, not in the score

9-10

Promoters

count for the score

NPS is the share of promoters minus the share of detractors, from -100 to +100. Two teams can reach the same score in very different ways:

TWO HYPOTHETICAL TEAMS, BOTH WITH AN NPS OF +25 (% OF ANSWERS)

■ Team A ■ Team B

Promoters



Passives



Detractors



Source: Frederick F. Reichheld, Harvard Business Review, 2003

The teams and numbers are invented; the method follows Reichheld (2003). Net Promoter and NPS are registered trademarks of Bain & Company, NICE Systems and Fred Reichheld.

THE NUMBERS

Effort costs loyalty

In 2010 Matthew Dixon, Karen Freeman and Nicholas Toman reported a study of more than 75,000 customers who had contacted service by phone, web, chat or e-mail. Delighting customers, they concluded, does not build loyalty; reducing their effort does.

CUSTOMERS WHO BECAME MORE DISLOYAL AFTER A SERVICE INTERACTION (CEB RESEARCH, SELF-REPORTED)



In CEB's research, service interactions were about four times more likely to drive disloyalty than loyalty. The 2010 article introduced the Customer Effort Score; in 2013 CEB replaced the first question with a statement rated from 1 to 7: the company made it easy for me to handle my issue.

OUR READING

Customers rarely leave because service was not dazzling. They leave because it was hard work.

Sources: Matthew Dixon, Karen Freeman & Nicholas Toman, Harvard Business Review, 2010; Matthew Dixon, Nick Toman & Rick DeLisi, Portfolio/Penguin, 2013

Research by CEB, a firm that sold the method; it rests on intentions that customers reported, not on measured behaviour.

THE MODEL

Three metrics, three questions

The three best-known customer metrics ask different questions, so they measure different things. None of them is a standard, and CSAT has no owner at all.

NPS

Would you recommend us?

0 to 10; share of 9–10
minus share of 0–6

CSAT

How satisfied were you?

often 1 to 5; often the
share of the two highest
answers

CES

Was it easy?

since 2013, agreement
from 1 to 7 with a
statement

THE MODEL BEHIND THE AMERICAN CUSTOMER SATISFACTION INDEX (ACSI), 1994

01

Expectations

what customers
expect

02

Quality and value

as customers perceive
them

03

Satisfaction

scored from 0 to 100

04

Complaints, loyalty

the consequences

OUR READING

Recommendation, satisfaction and effort are different things. Pick the question that fits the decision you have to make.

Sources: Frederick F. Reichheld, Harvard Business Review, 2003; Neil A. Morgan & Lopo Leotte Rego, Marketing Science, 2006; Matthew Dixon, Nick Toman & Rick DeLisi, Portfolio/Penguin, 2013; Claes Fornell et al., Journal of Marketing, 1996

The CSAT practice is common usage, not a standard. The ACSI has been published since October 1994; its satisfaction score is a weighted average of three questions.

[More in the essay](#)

61 resellers: what wholesale taught me about trust

WHAT THE RESEARCH SAYS

Does it predict growth?

Reichheld wrote that the recommend question predicts loyalty and growth better than satisfaction surveys. Independent studies tested the claim.

01	Keiningham et al., 2007	21 firms and over 15,500 interviews in Norway, compared with the ACSI: no clear superiority of Net Promoter over other measures.
02	Morgan & Rego, 2006	ACSI data for 1994–2000: average satisfaction predicted business performance best; recommendation measures had little or no value.
03	de Haan et al., 2015	Customers of 93 firms in 18 industries: top-2-box satisfaction predicted retention best; the best metric varied by industry, and combining helped.

OUR READING

No single number wins everywhere. Which one predicts best depends on the business, so test it on your own customers.

Sources: Timothy L. Keiningham et al., *Journal of Marketing*, 2007; Neil A. Morgan & Lopo Leotte Rego, *Marketing Science*, 2006; Evert de Haan, Peter C. Verhoef & Thorsten Wiesel, *International Journal of Research in Marketing*, 2015

Associations, not proof of cause. Morgan and Rego did not use the 0–10 question. Each camp has an interest: Bain advises on NPS, CEB sold CES research, and Ipsos announced the 2007 critique.

HOW IT IS MEASURED

One set of answers, three scores

CSAT is often reported as top-2-box: the share of answers in the two highest points of the scale. Change the rule and the same answers give a different number.

HYPOTHETICAL EXAMPLE, 100 ANSWERS ON A 1-5 SCALE

Answers	5: 30 · 4: 40 · 3: 15 · 2: 10 · 1: 5
Top-2-box	4s and 5s of all answers: 70%
No neutrals	the 3s left out of the count: 70 of 85 = 82%
Top box	only the 5s: 30%

Say which rule you use, and keep it. The answers are invented.

1

Fix the question, the scale and the rule

Otherwise a change in the score may only be a change in the method.

2

Report the spread, not only the score

The same score can hide very different customers.

3

Keep the score out of bonuses

NPS's own authors say tying it to frontline bonuses made people chase the score.

Sources: Evert de Haan, Peter C. Verhoef & Thorsten Wiesel, International Journal of Research in Marketing, 2015; Fred Reichheld, Darci Darnell & Maureen Burns, Harvard Business Review, 2021

The steps and the example are the editors'. Top-2-box follows the studies of Morgan & Rego and de Haan et al.; on bonuses, Reichheld, Darnell & Burns (2021).

Open the tool: Last-Mile CX Control Tower

stivencatalyst.com/tools/cx-control-tower/

TOOL OF THE WEEK

The voice-of-the-customer card

One card per month. The score is the start of the conversation: the spread, the reasons and the effort tell you what to fix.

01 Question and scale word for word, and the rule for the score

02 Answers how many, and how many customers did not answer

03 Score and spread the score, and the share in each group

04 Top three reasons from the comments of the lowest scores

05 Where customers worked hard repeat contacts, switching channels, waiting

06 One fix what, who, by when; check it next month

Sources: Frederick F. Reichheld, Harvard Business Review, 2003; Matthew Dixon, Karen Freeman & Nicholas Toman, Harvard Business Review, 2010

A practice proposed by the editors, after Reichheld (2003) and Dixon, Freeman & Toman (2010).

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

The One Number You Need to Grow

Frederick F. Reichheld, Harvard Business Review, 2003

<https://hbr.org/2003/12/the-one-number-you-need-to-grow>

Stop Trying to Delight Your Customers

Matthew Dixon, Karen Freeman & Nicholas Toman, Harvard Business Review, 2010

<https://hbr.org/2010/07/stop-trying-to-delight-your-customers>

The Effortless Experience: Conquering the New Battleground for Customer Loyalty

Matthew Dixon, Nick Toman & Rick DeLisi, Portfolio/Penguin, 2013

The American Customer Satisfaction Index: Nature, Purpose, and Findings

Claes Fornell et al., Journal of Marketing, 1996

<https://doi.org/10.2307/1251898>

The Value of Different Customer Satisfaction and Loyalty Metrics in Predicting Business Performance

Neil A. Morgan & Lopo Leotte Rego, Marketing Science, 2006

<https://doi.org/10.1287/mksc.1050.0180>

A Longitudinal Examination of Net Promoter and Firm Revenue Growth

Timothy L. Keiningham et al., Journal of Marketing, 2007

<https://doi.org/10.1509/jmkg.71.3.39>

The predictive ability of different customer feedback metrics for retention

Evert de Haan, Peter C. Verhoef & Thorsten Wiesel, International Journal of Research in Marketing, 2015

<https://doi.org/10.1016/j.ijresmar.2015.02.004>

Net Promoter 3.0

Fred Reichheld, Darci Darnell & Maureen Burns, Harvard Business Review, 2021

<https://www.bain.com/insights/net-promoter-3-0/>

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

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Every week, one management question, checked against the best research.

ALL ISSUES

stivencatalyst.com/magazine/management-review.html